Application in Action

Using the media article 'Sanctions can kill as many people as wars' Opinion article by Francisco Rodríguez (Economics Professor at UoD) (FT, 8th August 2025)

Question used for application:

"Explain the effects of protectionist policies on both the Australian and the global economy" (Q28, 2019 HSC Examination)

Quote from Article	Syllabus Concept	Example Application in Context
"Novartis… stopped shipping [thalassaemia drugs] to Iran after US President Donald Trump reimposed sanctions… Naroi is one of nearly 150 patients that have died annually… compared to fewer than 40 a year prior."	**Protectionist policies** – trade sanctions; impacts on standards of living	*Trade sanctions, a form of protectionism, can limit access to essential goods. In Iran, annual deaths from thalassaemia rose from under 40 to around 150 after sanctions blocked access to drugs. This fourfold increase in mortality illustrates how sanctions can dramatically lower living standards in targeted economies.*
"Humanitarian agencies in Venezuela had their US bank accounts closed… hampering efforts to deliver food assistance… WHO… found consistent adverse effects of sanctions on health systems."	**Effects of protectionist policies** on developing economies	*Sanctions can disrupt financial systems and block humanitarian aid. In Venezuela, banking restrictions directly reduced food deliveries, aligning with WHO findings that sanctions consistently damage health systems in low- and middle-income nations. Such systemic harm can worsen poverty and health outcomes for millions.*
"Sanctions… lead to an estimated 8 per cent increase in the mortality rate of children under five… approximately 564,000 excess deaths annually… comparable to… armed conflict."	**Economic costs of protectionism** – global welfare impacts	*Research across 152 countries shows sanctions increase child mortality rates by 8%, causing about 564,000 excess deaths each year — a toll similar to global war casualties. This statistic highlights the severe humanitarian cost of protectionist trade measures on global welfare.*
"The share of the global economy subject to unilateral sanctions grew from 5% in the 1960s to 25% between 2010 and 2022."	**Trends in protectionist policies** – globalisation and trade policy	*The portion of the global economy under unilateral sanctions has quintupled from 5% in the 1960s to 25% in recent years. This growth in protectionist measures reduces trade flows, fragments markets, and constrains global economic growth.*
"A policy that kills hundreds of thousands of civilians is neither peaceful nor defensible… an economic weapon of mass destruction."	**Criticisms of protectionism** – unintended consequences	*Sanctions, while intended to pressure regimes, have been linked to hundreds of thousands of civilian deaths annually. This scale of impact rivals wartime casualties, showing that protectionism can unintentionally produce large-scale humanitarian crises and undermine global stability.*